Liontrust Asset Management PLC

Executive Remuneration Review, FY2013–FY2026 · LIO LN · Built on the audited FY2022, FY2023, FY2025 and FY2026 Remuneration Reports · Year-by-year analysis and UK asset management benchmarking · 31 August 2026

Headline findings

Metric	Position
CEO single figure, FY2026	**£667k** — of which **£nil** variable
CEO single figure, FY2021 (peak)	**£6,648k** — bonus and LTIP both at 100% of maximum
Change, FY2021 to FY2026	**-90.0%**
Fourteen-year cumulative CEO pay (FY2013–FY2026)	**£38.15m**
The old bonus formula *(now evidenced)*	Group pool **capped at 27% of pre-bonus adjusted PBT**; the executive sub-pool rose by **50% of the *increase* in adjusted PBT ex-performance fees**
FY2026 bonus outcome	**Nil for both directors** — the scorecard scored 13.9%, then a **share price underpin zeroed it**
LTIP vesting, five consecutive tests	**99.18% to 58.3% to 37.3% to 6.19% to nil**
Absolute TSR hurdle for maximum vesting	**Cut from ~52% cumulative (15% p.a.) to 15% cumulative** between the pre-2022 and 2024 policies
CEO LTIP grant value, FY2025 to FY2026	**+56%** (£1.11m to £1.74m) while the grant-date share price **fell 47%**
Base salary	**£583,600 / £445,600** — frozen for a third consecutive year
CEO pay ratio (median)	**5x**, down from a peak of **45x in FY2021**
Executive share of the group bonus pool	**1.8%** (FY2025), down from **8.5%** (FY2021)
CEO shareholding vs requirement	**450% against 500%** — below. Was **18x salary** in March 2022
Most recent remuneration vote	**72.57% in favour**, 18 Sep 2025 — on **~32% turnout**

The verdict, on four years of audited primary source. Our 30 August draft understated how far this has already been fixed, and for the wrong reasons. Liontrust's executives were paid **nothing variable at all** in FY2026 — no bonus, no LTIP vesting, a third salary freeze. The LTIP has now failed five consecutive tests, from 99.18% down to nil. The executives' share of the group bonus pool has fallen from 8.5% to 1.8%. And a **share price underpin introduced in FY2026 overrode a 13.9% scorecard and set the bonus to zero** in its first year of operation.

But the FY2022 and FY2023 reports change the picture in one important respect. We can now see the old hurdles, and they were *demanding*: the pre-2022 LTIP required **15% total shareholder return a year** for maximum vesting, and it was met because the company genuinely compounded at 42% a year. The current plan pays maximum for **15% in total over three years** — roughly 4.8% a year. The Committee has cut the bar for full vesting by about **71%** while the business deteriorated. Worse, the 2022 Committee designed a fixed-share LTIP specifically to *"remove any ratchet affect"* and *"avoid any potential windfall gains from the LTIP based on award date"* — and the 2024 policy reinstated exactly that ratchet, lifting the CEO's grant value 56% in a year the grant price fell 47%.

On implementation this is now a disciplined committee. On plan design it has quietly made the LTIP far easier to win.

1 · Basis of preparation, and corrections to our 30 August draft

This report restates our 30 August 2026 draft using the audited Directors' Remuneration Reports in Liontrust's Annual Report and Financial Statements for **2022** (pages 106–138, signed by George Yeandle, 21 June 2022), **2023** (pages 112–140, George Yeandle, 20 June 2023), **2025** (pages 110–138, Miriam Greenwood OBE DL, 24 June 2025) and **2026** (pages 107–134, Miriam Greenwood, 23 June 2026). Sections marked "(audited information)" are audited by the Group's external auditor. Where we previously relied on secondary sources, several figures were materially wrong; we set them out rather than quietly restating them.

1.1 What we got wrong

Item	Our 30 Aug draft	Audited actual	Materiality
CEO single figure FY2026	~£1.03m	**£667k**	**Major** — £1.03m was FY2025
CEO single figure FY2024	~£1.0m	**£1,367k**	**Major** — understated 37%
CEO single figure FY2023	~£2.0m	£1,933k	Minor
CEO single figure FY2021	"£6.2m or £6.6m"	**£6,648k**	Resolved
CFO single figures	not obtainable	**FY2021 £4,230k to FY2026 £511k**	Now complete
Governing policy	"the 2022 policy remains in force"	**2024 DRP**, approved with 86.46%, effective 1 Apr 2025	**Major**
LTIP structure history	one structure	**Three in three policies** — fixed face value, fixed share count, percentage of salary	**Major**
Pre-2022 LTIP hurdles	implied undemanding	**15% p.a. TSR and 15% p.a. EPS for maximum** — genuinely stretching, and genuinely met	**We were unfair — see §5.3**
10% vesting threshold	"soft, against a 20–25% norm"	The DRP permits 25%; the Committee **voluntarily uses 10%**	**Backwards** — a lower threshold payout is more demanding
2025 AGM disclosure undertaking	"not visibly delivered"	**Delivered** — update statement 11 Feb 2026	Correction
Peak CEO pay ratio	39x (FY2022)	**45x (FY2021)**	Corrected
CEO history	ten years	**Fourteen, FY2013–FY2026**	Extended
Compensation ratio	estimated 42–48%	**Measured** — workforce pay -22% (FY2026), -12.8% (FY2025)	Now sourced
Board composition	Miriam Greenwood omitted	Remuneration Committee Chair from 1 Apr 2024	Correction

1.2 What we got right

Our derivations from the August 2026 LTIP grant announcement proved accurate to within rounding: an inferred CFO salary of ~£446k (**actual £445,600**), a prior-year grant price of ~383p (**actual 383.3p**), and prior-year grants of 452,962 and 247,038 shares (**actual 452,963 and 247,038**). The structural narrative — a profit-linked bonus pool replaced by a capped framework, followed by a collapse in variable pay — is confirmed in full, and the formula behind it is now visible for the first time.

2 · The remuneration architecture

2.1 Three policies, three LTIP structures

	Pre-2022 policy	2022 DRP	2024 DRP
Approved	2018 GM	**GM 16 Feb 2022 — 54.06% in favour**	**AGM 19 Sep 2024 — 86.46%**
Applied to	to FY2022	FY2023–FY2025	FY2026 onward
LTIP structure	**Fixed face value** (£870,250 for the CEO); share count varied inversely with price	**Fixed number of shares** (153,130 / 112,295); value varied with price	**Percentage of salary** — CEO max 350%, CFO 250%
Absolute TSR for maximum	**15% per annum** (~52% over three years)	Replaced by relative TSR vs FTSE 250 ex-IT	**15% in total** over three years
EPS condition	15% p.a. for maximum	16.75% p.a. stretch, 8.5% entry	41.9p threshold / 51.3p maximum
Annual bonus	**Profit-share pool** — see §2.2	Hard cap; balanced scorecard; financial at least 50%	Hard cap; financial **at least 80%**; share price underpin
Bonus maximum	uncapped in practice	CEO 450% / CFO 350%	CEO 450% / CFO 350%
Pension	10% of salary	10%, rising to 12.5% from July 2023	**12.5%**, workforce-aligned
Shareholding requirement	**4x salary**	5x salary	**5x salary**, plus two years post-employment

The Committee's own words condemn the current design. Explaining the 2022 structure, George Yeandle wrote: *"The Committee specifically designed the LTIP as a fixed number of shares… **No adjustment will be made on account of short term share price volatility which avoids any potential windfall gains from the LTIP based on award date. Decoupling the size of the LTIP award from a percentage of salary also removes any ratchet affect.**"*

Two years later the 2024 DRP reinstated precisely the percentage-of-salary structure that the 2022 Committee had rejected as a ratchet. §5.4 quantifies what that has cost.

2.2 The old bonus formula, now evidenced

The FY2022 report sets out the mechanic that produced £6.6m packages on a £348k salary. It had never been visible to us before:

Step	The rule as disclosed
1. Group pool	The aggregate bonus pool for all staff was **capped at 27% of pre-cash-bonus Adjusted Profit Before Tax**. It ran at **21% (FY2021)**, **20.5% (FY2022)** and **12.5% (FY2023)** — the cap never bound
2. Executive sub-pool	*"Historically, the Committee has increased the aggregate annual bonus pool for the Executive Directors by **50% of the increase in Adjusted Profit before tax (excluding performance fee profits)**"*
3. FY2022 arithmetic	Adjusted PBT ex-performance fees rose **63.7%** like-for-like, lifting the executive pool **32.1%** from £4.46m to **£5.89m**
4. Scorecard	The 75.3% outcome applied to £5.89m gave **£4.44m**
5. **Committee discretion**	The Committee **capped the pool at the prior year's £4.36m** — bonuses held flat
Outcome	Individual bonuses of **800% of salary (CEO)** and **480% (CFO)**; cash limited to 250% of salary

Three observations. The pool moved with **50% of the *increase** in profit, so a good year permanently reset the base upward — the executives were long a levered call on equity market beta. The 27% group cap was never close to binding. But the Committee did exercise real restraint in FY2022, capping a formulaic £4.44m at £4.36m, and that deserves acknowledgement.

The metric was also changed in the executives' favour once. In FY2023 the Committee *"exercised its judgement to include performance fees into the adjusted profit metric"*, giving three reasons — alignment with the workforce pool, Majedie's contribution, and analyst consensus practice. Performance fees were £18.5m that year (FY2022: £12.5m). The change was disclosed, reasoned and applied consistently thereafter, but it is a discretionary adjustment to a metric that improved the outcome, and shareholders should log it as such.

3 · Fourteen years of CEO remuneration (audited)

3.1 The single figure and what actually paid out

Year to 31 Mar	CEO single figure (£'000)	Bonus scorecard (% of max)	LTIP vesting (% of max)	Commentary
2013	2,186	n/d	Nil	
2014	2,271	n/d	**100.0%**	
2015	1,544	n/d	Nil	
2016	1,572	**100.0%**	Nil	
2017	1,751	**100.0%**	Nil	
2018	2,191	**100.0%**	Nil	
2019	4,419	**100.0%**	**100.0%**	
2020	4,555	**100.0%**	**100.0%**	
2021	**6,648**	**100.0%**	**100.0%**	**Peak.** Sixth consecutive full bonus
2022	**6,014**	75.3%	99.18%	AuMA peaks; share price peaks at 2,560p in Sep-21
2023	1,933	25.0%	58.3%	Policy reset; **-68%**
2024	1,367	20.0%	37.3%	-29%
2025	1,031	12.9%	6.2%	-25%
2026	**667**	**0.0%**	**0.0%**	**-35%. Nothing variable at all**
Cumulative	**£38,149k**			

> **Read the two right-hand columns.** From FY2016 to FY2021 the annual bonus paid at **100% of maximum in six consecutive years**. From FY2022 the two columns fall to 75/99, 25/58, 20/37, 13/6 and finally **0/0**. The framework and the shareholder experience are now moving together — but note *when* they started to: the LTIP began failing in FY2023, a full year before the bonus scorecard did, because the LTIP measures three years of performance and the bonus measures one.

3.2 The peak years decomposed — and why £6.6m overstates what was awarded

£'000 — John Ions	FY2021	FY2022	FY2023
Base salary	348	348	**550**
Benefits and cash in lieu of pension	39	39	59
Total fixed pay	**387**	**387**	**609**
Cash bonus	870	870	310
DBVAP (deferred into Liontrust funds)	1,915	1,915	310
Total annual bonus	**2,785**	**2,785**	**620**
LTIP — **base value at grant**	829	863	508
LTIP — **share price appreciation and dividend equivalents**	**2,643**	**1,975**	192
Total LTIP vesting	**3,472**	**2,838**	**700**
SIP matching shares	4	4	4
TOTAL REMUNERATION	**6,648**	**6,014**	**1,933**
Bonus as % of salary	*800%*	*800%*	*113%*
Cash bonus as % of salary	*250%*	*250%*	*56%*

A fairness point the headline number obscures. Of the £6,648k FY2021 figure, **£2,643k was share price appreciation and dividend equivalents** on LTIP awards granted three years earlier at 280.6p–589.6p. The same applies to £1,975k of the FY2022 total. That is investment return on previously granted equity, not compensation awarded in the year. On an *awarded* basis the peak packages were closer to **£3.2m** — still very large on a £348k salary, but roughly half the headline. Anyone citing "£6.6m" in a campaign should expect the company to make exactly this point, and it is a legitimate one.

The reverse is also true, and less often noted. In FY2024 and FY2025 the same line ran *negative*: -£145k and -£24k of share price depreciation reduced the vesting value. The plan cuts both ways.

3.3 FY2024 to FY2026 in full (audited)

£'000	Ions FY2026	Ions FY2025	Ions FY2024	Abrol FY2026	Abrol FY2025	Abrol FY2024
Base salary	**584**	584	584	**445**	445	445
Benefits — private medical	6	5	5	5	5	5
Cash in lieu of pension	73	69	69	57	53	53
Total fixed pay	**663**	658	658	**507**	503	503
Cash bonus	**–**	–	263	**–**	–	156
DBVAP	**–**	339	263	**–**	201	156
Total annual bonus	**–**	**339**	**526**	**–**	**201**	**312**
LTIP — base value	–	54	324	–	35	214
LTIP — share price movement	–	(24)	(145)	–	(16)	(96)
Total LTIP vesting	**–**	**30**	**179**	**–**	**19**	**118**
SIP matching shares	4	4	4	4	4	4
TOTAL REMUNERATION	**667**	**1,031**	**1,367**	**511**	**727**	**937**
of which variable	**nil**	*369*	*705*	**nil**	*220*	*430*
Bonus as % of salary	**0%**	*58%*	*90%*	**0%**	*45%*	*70%*
Cash element as % of salary	**0%**	*0%*	*45%*	**0%**	*0%*	*35%*

FY2026 combined executive remuneration was **£1,178k** against a policy maximum for the two of roughly **£8.4m** — approximately **14% of what the policy permits.**

4 · The annual bonus, year by year

4.1 FY2022 — 75.3%, under the old profit-share

Metric	Weight	Threshold	Target	Actual	Weighted
Financial — 33.4%					
Change in adjusted PBT ex-performance fees	22.2%	30.0%	35.0%	**63.7%**	**22.2%**
Operating margin	11.2%	38.0%	39.0%	**41.6%**	**11.2%**
Business — 33.3%					
Distribution effectiveness (net flows vs a £2,941m budget)	13.9%	80%	110%	85%	7.0%
Broadening international sales	5.5%	35%	50%	**3%**	**0.0%**
Investment performance (1/3/5yr top-two quartile)	13.9%	50%	75%	71%	8.3%
Strategic — 33.3%					
Talent management	8.3%	—	—	70%	5.8%
Diversity and inclusion	8.3%	—	—	70%	5.8%
Risk, compliance and conduct	8.3%	—	—	90%	7.5%
Personal performance	8.3%	—	—	90%	7.5%
Total	**100%**				**75.3%**

4.2 FY2023 — 25.0%, the first year of the balanced scorecard

Metric	Weight	Actual	Weighted
Financial — 70%			
Change in adjusted PBT ex-performance fees	40.0%	**(12%)**	**0.0%**
Performance fees above the three-year average	10.0%	103%	10.0%
Distribution effectiveness (net flows vs a **+£900m** budget)	10.0%	**(592%)**	**0.0%**
Investment performance	10.0%	44%	**0.0%**
ESG, risk and personal — 30%			
ESG integration into mainstream fund management	10.0%	80%, **cut to 50% by discretion**	—
Diversity and inclusion	10.0%	75%, **cut to 50%**	—
Aligning executive and workforce pay under the new DRP	10.0%	50%	—
ESG block outcome	*30%*		**15.0%**
Total	**100%**		**25.0%**

> **The FY2023 scorecard is the Committee's best moment.** Financial measures scored 10 out of a possible 70. The ESG measures genuinely scored 80%, 75% and 50% — and the Committee **used its discretion to cut each to 50%** *"given the overall disappointing Financial performance in the year"*. That is downward discretion applied against the executives, disclosed with reasons. It is exactly what a remuneration committee is for, and it is rare.

4.3 FY2024 — 22.0%, cut to 20% by discretion

Metric	Weight	Threshold	Target	Actual	Weighted
Financial — 70%					
Change in adjusted PBT (target **£82.6m**)	**50.0%**	90.0%	100.0%	**80%**	**0.0%**
Distribution effectiveness (net flows vs a **+£500m** budget)	10.0%	90%	100%	**(1,217%)**	**0.0%**
Investment performance (1/3/5yr)	10.0%	67.5%	75.0%	**61%**	**0.0%**
ESG, risk and personal — 30%					
Attraction and retention of talent	10.0%	—	—	—	7.0%
Diversity, equity and inclusion	10.0%	—	—	—	8.0%
ESG integration and reporting	10.0%	—	—	—	7.0%
Formulaic total	**100%**				**22.0%**
Committee discretion applied					→ **20.0%**

> **A third consecutive year of downward discretion, and an instructive one.** Every financial measure scored zero again. The Committee explicitly noted *"the significant improvement in weighted investment performance (a 61% outcome) and that the threshold vesting of this financial metric at 67.5% was particularly stretching"* — it acknowledged the target was hard, and **still scored it nil**. It then records *"a robust debate about whether to vest any of the ESG metrics given the financial performance"*, resolved by paying them but cutting the overall outcome from 22% to **20%**, *"so the final outcome mirrors the reduction in the Adjusted profit before tax for the year"*. Bonuses were **90% of salary (CEO)** and 70% (CFO), of which 45% and 35% in cash.

4.4 FY2025 — 12.9%

Metric	Weight	Threshold	Target	Actual	Weighted
Change in adjusted PBT (target **£60.6m**)	50.0%	80.0%	100.0%	**80%**	**5.0%**
Distribution effectiveness — net flows vs a budget of **+£70m inflows**	10.0%	90%	100%	**(7,006%)**	**0.0%**
Investment performance (1/3/5yr)	10.0%	67.5%	75.0%	**34%**	**0.0%**
Enhance the client experience	7.5%	—	—	**0%**	0.0%
Increase and diversify the product range	7.5%	—	—	25%	1.9%
Expand distribution and the client base	7.5%	—	—	**0%**	0.0%
Technology, data and digital	7.5%	—	—	80%	6.0%
Total	**100%**				**12.9%**

> **Read the net-flow line twice.** The Committee budgeted for **net inflows of £70m** in the fourth consecutive year of heavy redemptions, and the business delivered **-£4,904m** — a scored outcome of **minus 7,006%**. Setting a positive-flow budget at that point was not a credible target. FY2026's was reset to -£1,500m, which is honest, and was still missed at -£4,184m.

4.5 FY2026 — 13.9%, then nil

Metric	Weight	Threshold	Target	Max	Actual	Weighted
Adjusted PBT incl. performance fees (target **£37m**)	**55.0%**	85.0%	100.0%	107.5%	**84.0%**	**0.0%**
Distribution effectiveness (net flows vs **-£1,500m**)	12.5%	67.0%	100.0%	116.7%	**(178.9%)**	**0.0%**
Investment performance (1Y and 3Y top-two quartile)	12.5%	50.0%	67.5%	80.0%	**33%**	**0.0%**
Client experience and outcomes	5.0%	—	—	—	80%	4.0%
Diversify the product range	5.0%	—	—	—	67%	3.4%
Broaden distribution and the client base	5.0%	—	—	—	50%	2.5%
Technology, data and digital capability	5.0%	—	—	—	80%	4.0%
Total scorecard	**100%**					**13.9%**
Share price underpin applied						**to NIL**

4.6 The share price underpin — the best feature of the framework

After the 27.43% vote against the 2025 remuneration report, the Committee consulted shareholders, published an update statement on **11 February 2026**, and introduced a **share price underpin**: if total shareholder return over the year is less than **37.1p** — 10% of the 371p price at 31 March 2025 — the scorecard outcome is **set to nil regardless of the actual result**. The shares fell from **371p to 241p, down 35%**. The underpin overrode a 13.9% scorecard and produced a **nil bonus for both executives**.

> **This deserves unambiguous credit.** It is a hard, mechanical, non-discretionary link between variable pay and the shareholder's actual experience — precisely what the profit-share structure lacked — introduced in response to shareholder feedback, and **it bit in its first year**. Very few UK asset managers have anything equivalent.
>
> **Two caveats.** The Committee says the underpin *"will be in place for next year, **but may not be in future years**"* — it is not embedded in the policy and could be dropped without a shareholder vote. And the FY2027 hurdle resets to **24.1p**, being 10% of the *new, lower* 241p base. A falling share price mechanically lowers the bar each year. **Shareholders should press for it to be made permanent and anchored, not reset annually.**

4.7 Deferral

Award in respect of	Ions — % of bonus deferred	Value	Abrol — % deferred	Value
FY2018	61%	£1,104,000	50%	£525,000
FY2019	61%	£870,000	50%	£492,000
FY2020	80%	£1,392,000	80%	£786,000
FY2021	69%	£1,915,000	69%	£1,085,000
FY2022	69%	£1,915,000	50%	£786,000
FY2023	50%	£310,000	50%	£184,000
FY2024	50%	£263,000	50%	£156,000
FY2025	**100%**	**£339,000**	**100%**	**£201,000**
FY2026	**n/a — nil bonus**	**£nil**	**n/a — nil bonus**	**£nil**

DBVAP awards are nil-price options over Liontrust shares and/or units in Liontrust-managed funds, exercisable one third each year over three years, with malus and clawback but no further performance condition. The policy minimum is 50%; the Committee moved to 100% for FY2025.

5 · The Long Term Incentive Plan

5.1 Grant history (audited)

Award (FY)	Granted	Shares — CEO	Grant price	Face value — CEO	% of CEO salary	Shares — CFO	Face value — CFO	Outcome
FY2017	5 Sep 2016	59,070	280.6p	£828,750	~238%	38,929	£546,175	Vested
FY2018	22 Jun 2017	73,628	450.2p	£828,750	~238%	48,524	£546,175	Vested
FY2019	26 Jun 2018	147,607	589.6p	£870,250	250%	97,270	£573,475	**99.18%**
FY2020	12 Aug 2019	114,206	762.0p	£870,250	250%	75,259	£573,475	**58.3%**
FY2021	8 Jul 2020	61,719	1,410.0p	£870,250	250%	40,671	£573,475	**37.3%**
FY2022	23 Jun 2021	53,389	1,630.0p	£870,250	**250%**	35,182	£573,475	**6.19%**
FY2023	23 Jun 2022	153,130	940.0p	£1,439,422	**262%**	112,295	£1,055,573	**LAPSED IN FULL**
FY2024	22 Jun 2023	153,130	752.5p	£1,152,303	**197%**	112,295	£845,020	In flight
FY2025	27 Jun 2024	153,130	726.0p	£1,111,724	**190%**	112,295	£815,262	In flight
FY2026	**26 Jun 2025**	**452,963**	**383.3p**	**£1,736,210**	**297.5%**	**247,038**	**£946,900**	In flight
FY2027	**6 Aug 2026**	**566,203**	~292.8p *(derived)*	~£1,657k *(derived)*	**284%**	**308,797**	~£905k	Granted post year-end

5.2 Five consecutive vesting tests

Award	Tested	Absolute TSR	Relative TSR	EPS	Strategic / investment	Total
FY2019	Jun 2021	**42% p.a.** vs 15% to 100%	—	**26% p.a.** vs 15% to 100%	29.18 of 30	**99.18%**
FY2020	Aug 2022	10.9% p.a. to 27%	7.83% p.a. to **0%**	**37% p.a.** to 100%	net inflows 94%; investment performance **15%**	**58.3%**
FY2021	Jul 2023	**-14% p.a.** to nil	**-23.7% p.a.** to nil	**+21.5% p.a.** to 100%	net inflows **15% of target** to nil; investment performance 48% to nil	**37.3%**
FY2022	Jun 2024	**-14%** to nil	**-15%** to nil	**+0.61% p.a.** vs 15% to nil	only the soft sub-component paid	**6.19%**
FY2023	Jun 2025	—	Bottom quartile to nil	**-19%** vs 8.5% entry to nil	—	**NIL**

We were unfair to the old plan, and the audited record says so. Our earlier draft implied the 100% vestings of FY2019–FY2021 reflected soft hurdles. They did not. The FY2019 award required **15% total shareholder return per annum** for maximum and delivered **42% per annum**; it required **15% EPS growth per annum** and delivered **26%**. Those are genuinely stretching targets that were genuinely beaten. The plan then did what a plan should: as performance deteriorated it paid 58.3%, then 37.3%, then 6.19%, then nothing.

One design flaw is visible, though. The FY2022 award paid 6.19% and **every financial and quantitative measure scored zero** — the entire payout came from a qualitative strategic sub-component assessed by the Committee. When a plan's hard measures all fail, a soft residual should arguably fail with them. The 2024 DRP removed the strategic-objectives component and replaced it with investment performance. That was the right fix.

5.3 The TSR hurdle has been cut by roughly 71%

	Pre-2022 awards	2024 DRP awards (FY2026 onward)
Absolute TSR for **nil** vesting	below 10% **per annum**	below 10% **in total**
Absolute TSR for **maximum** vesting	**15% per annum**	**15% in total**
Equivalent over a three-year performance period	**~52% cumulative**	**15% cumulative**
Implied annualised rate for maximum	**15.0% p.a.**	**~4.8% p.a.**
Weighting	20% (plus 20% relative)	**40%** (with a relative underpin worth at most 10% of the award)

> **This is the single most important finding in this report.** The hurdle for *maximum* vesting on the absolute TSR element has fallen from roughly **52% cumulative to 15% cumulative** — a reduction of about **71%** — while the weighting on that element **doubled to 40%**. A 4.8% annual return is below most estimates of the cost of equity and below the long-run return of the FTSE 250. The relative FTSE 250 underpin lets the Committee flex the outcome by only **up to 10% of the award**, which mitigates but does not fix it.
>
> **And the base resets downward each year.** The FY2026 award measures TSR from **383.3p**; the FY2027 award from approximately **292.8p**. The same 15% now requires roughly 337p rather than 441p. **Granting percentage-of-salary awards at a depressed price delivers a double benefit: more shares, and a lower cash hurdle on each of them.**

What the policy can pay — the company's own illustration

The 2024 policy document sets out illustrative outcomes. These are Liontrust's figures, not ours:

Scenario	CEO	CFO
Minimum (fixed pay only)	£660,550	£505,300
Target	£3,578,550	£2,176,300
Maximum	**£5,329,350**	£3,178,900
Maximum with 50% share price growth	**£6,350,650**	£3,735,900

> Against a market capitalisation of ~£193m, the illustrated maximum is **2.8% of the entire company in one year for one executive**, rising to **3.3%** with share price growth. The target scenario of £3.58m is **5.4x** what the CEO was actually paid in FY2026. The Committee has never come close to these numbers — but it wrote them, and it **considered an overall cap on total remuneration and decided against it** in four consecutive reports.

5.4 The ratchet the 2022 Committee designed the plan to avoid

	FY2025 award	FY2026 award	Change
Grant price	726.0p	**383.3p**	**-47%**
Shares granted (CEO)	153,130	**452,963**	**+196%**
Face value (CEO)	**£1,111,724**	**£1,736,210**	**+56%**
% of salary	190%	**297.5%**	**+107 points**

Under the 2022 fixed-share structure the percentage of salary fell as the share price fell — 262% in FY2023, ~200% in FY2024, 190% in FY2025. That was the intended behaviour, and the FY2024 report says so explicitly: *"no adjustment has been made for the relative recent weakness of the share price… the LTIP is about the long term transformation of the business… and certainly does not reward short term volatility."*

The 2024 DRP reversed it. Moving to a percentage of salary lifted the CEO's grant value 56% in a single year, at the bottom of the cycle.

And the Committee said why, in terms shareholders should read carefully. The 2024 policy document states:

> *"The Committee has recognised the significant personal shareholding of the CEO and CFO (currently 1,200% and 1,700% of salary respectively) and the **relatively low levels of unvested deferred awards they currently have outstanding (following successive years of reduced variable pay outcomes)**. This has resulted in what the Committee and the Board considers is an **insufficient level of lock-in** for the current Executive Directors. A key consideration for the Committee, therefore, is to **create appropriate levels of opportunity and retention**…"*

Read plainly: the LTIP opportunity was increased because previous awards had failed to vest. That is a coherent retention argument — an executive with nothing unvested is unlocked — but it is also circular, and it is the clearest available evidence that the ratchet was deliberate rather than incidental. It also sits oddly beside the same document's claim that the change merely brings the plan "in line with standard UK practice".

In fairness, three mitigants. Shareholders had themselves objected that the fixed-share structure was *"excessive and uncapped… and unconventional"*, so the change had support. The Committee committed to phase in — no more than **90% of maximum (315% of salary)** for the first grant absent an improvement in performance, judged on FY2025 results **and market capitalisation** — and then went further, granting **297.5%**, or 85%. And it capped the FY2027 increase at 25% of share count, landing at 284% rather than 350%. **That slows the ratchet; it does not remove it.**

5.5 Outstanding options and dilution

At 31 March	Performance-conditioned	Not performance-conditioned	Total
2022 — Ions	229,314	95,372 vested unexercised	324,686
2023 — Ions	268,238	29,279	297,517
2025 — Ions	459,390	–	459,390
2026 — Ions	**759,223**	93,477	**852,700**
2026 — Abrol	**471,628**	58,950	**530,578**
Plus the FY2027 grant (6 Aug 2026)	*875,000*	—	*875,000*
Combined, post-August 2026	**2,105,851**	**152,427**	**~2,258,278**
As % of ~62.97m shares	**3.34%**	0.24%	**~3.59%**

The Company operates a formal policy that dilution from employee share awards will not exceed **10% in any rolling ten-year period**, uses an employee benefit trust to manage it, and satisfies SIP and CSOP awards with **market-purchased shares**, which carry no dilutive effect. The 3.6% sits inside a disclosed and monitored cap.

The point that survives: the FY2026 and FY2027 grants together total **1,575,001 shares — 2.50% of issued capital**, against a completed £10m buyback that retired 3,764,532 shares. **Two years of executive LTIP grants equal roughly 42% of the entire buyback.**

6 · Pay for performance

6.1 Executives, workforce and shareholders

Percentage change vs prior year	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026
CEO salary	0%	0%	**+58%**	+6%	0%	**0%**
CEO bonus	**+60%**	0%	**-78%**	-15%	-36%	**-100%**
CFO salary	0%	0%	**+28%**	+6%	0%	**0%**
CFO bonus	+60%	0%	-77%	-15%	-36%	**-100%**
Staff salary (average)	+9%	+12%	+11%	+6%	+5%	**+4%**
Staff bonus (average)	**+181%**	**+103%**	-38%	-7%	-21%	**-24%**

The FY2025 staff bonus change is disclosed as +14% in the FY2025 report and -21% in the FY2026 report, reflecting different comparator populations. Both are shown in the respective years' accounts; the discrepancy is unexplained.

> **The FY2026 column answers the question shareholders have been asking for four years.** Executive bonuses fell **100%**; staff bonuses fell **24%**. Executive salaries were frozen; staff salaries rose 4%. The Committee differentiated **against** the executives, decisively — the exact inverse of FY2021, when staff bonuses rose 181% and the CEO's rose 60%.

6.2 The executives' share of the bonus pool

	FY2021	FY2022	FY2023	FY2024	FY2025
Group bonus pool as % of pre-bonus adjusted PBT *(cap 27%)*	21%	20.5%	**12.5%**	n/d	n/d
Executives' share of the group pool	**8.5%**	**6.6%**	**4.3%**	**2.1%**	**1.8%**
— of which CEO	5.4%	4.3%	2.7%	1.3%	**1.1%**
— of which CFO	3.1%	2.3%	1.6%	0.8%	**0.7%**

This is the single most persuasive alignment statistic in the whole record. Two people took 8.5% of the entire firm's bonus pool in FY2021 and 1.8% in FY2025 — a **79% reduction in their share**, on top of a shrinking pool. The 27% cap on the group pool was never close to binding, so the discipline came from the Committee, not the formula.

A disclosure inconsistency. *The FY2023 report states the executives' share as* ***1.6%*** *(CEO 1.0%, CFO 0.6%) in the Chair's letter and* ***4.3%*** *(CEO 2.7%, CFO 1.6%) in section 2, in the same document. The FY2024 report's comparative confirms 4.3%. The Chair's letter figure appears to be an error.*

6.3 Relative importance of spend on pay

Measure	FY2025 to FY2026	FY2024 to FY2025
Adjusted profit before tax, excluding performance fee profit	**-38%**	-25.9%
Adjusted profit before tax	**-37%**	-28.4%
Total member and employee remuneration	**-22%**	**-12.8%**
Dividend spend	**-75%**	**-0.3%**

The FY2025 column is the one an activist will cite. Adjusted profit fell 28.4% and workforce pay fell 12.8% — while **dividend spend fell just 0.3%**, because the board was still paying 72p out of capital. In FY2026 the pattern reversed: dividends -75%, workforce pay -22% against gross profit -22%, holding the compensation-to-gross-profit ratio flat. Pay still falls more slowly than profit, which is normal where people are the product.

6.4 The CEO pay ratio (voluntary disclosure)

Liontrust's UK headcount is below the 250-employee threshold, so the requirement **does not apply**. The Company has disclosed it voluntarily since 2019 — a year ahead of the rules — using Option A on full individual pay data for all UK staff. That is a credit to the Committee.

	FY2019	FY2020	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026
Lower quartile	56x	78x	**84x**	69x	21x	15x	12x	**8x**
Median	33x	43x	**45x**	39x	13x	10x	9x	**5x**
Upper quartile	17x	18x	**22x**	16x	7x	5x	5x	**3x**

Workforce single figure (£'000)	FY2022	FY2023	FY2024	FY2025	FY2026
Lower quartile	87	93	89	87	**81**
Median	**156**	145	139	124	**129**
Upper quartile	384	268	259	209	**216**
Median salary component	88	100	92	95	**100**

> **A median ratio of 45x in FY2021 was squarely normal** for a UK listed company; FTSE 350 medians run 30x–60x. **The old structure was not an outlier on the ratio — it was an outlier on how the money was generated**, by a formula that paid 100% of maximum six years running. Today's 5x is exceptionally low, and reflects both a well-paid workforce (median £129k) and a CEO taking nothing variable. Note also that the workforce upper quartile has fallen from £384k to £216k — the pain has been shared with senior fund managers, not just absorbed at the top.

7 · Shareholding and alignment

7.1 The collapse in value, and what it does not mean

At 31 March	Ordinary shares — Ions	Value	Multiple of salary	Ordinary shares — Abrol	Value	Multiple	Requirement
2022	746,593	£10,140k	**18x**	900,614	£11,888k	**28x**	4x
2023	848,615	£8,813k	**15x**	947,292	£9,774k	**22x**	4x
2024	879,001	£5,907k	**10x**	988,253	£6,641k	**15x**	4x
2025	1,035,620	£3,842k	**6.6x** *(658%)*	1,068,744	£3,965k	**8.9x** *(891%)*	5x
2026	**1,041,256**	**£2,623k**	**4.5x — below**	**1,074,380**	**£2,659k**	**6.0x**	**5x**

> **The most important fact in this table is the left-hand column, not the right.** John Ions' shareholding **rose every single year**, from 746,593 shares to 1,041,256 — an increase of **39%** — while its value fell from **£10.1m to £2.6m**. He has been buying and accumulating through deferral throughout the decline. **The shortfall against the 5x guideline is entirely the share price, not a director selling down.** Anyone campaigning on this point should say so, because the company certainly will.
>
> Note also that **the CFO holds more stock than the CEO**, both absolutely and relative to salary, after 30 and 16 years respectively.

7.2 Non-executive alignment is thin

Director	Shares held at 31 Mar 2026
Luke Savage (Chair)	15,000
Miriam Greenwood (Remuneration Committee Chair)	2,750
Rebecca Shelley (Senior Independent Director)	2,082
Mandy Donald (Audit & Risk Chair)	1,579

Three of the four hold under 3,000 shares — under £10,000 at the current price. The policy merely *"encourages"* non-executives to use a percentage of fees to buy shares. On a board that may have to adjudicate an offer for the company, that is thin.

7.3 What happens on a change of control

The 2024 policy is explicit, and it matters for the takeover case:

- **All unvested deferred bonus (DBVAP) awards vest in full** on a change of control — *"regardless of underlying corporate performance or satisfaction of the shareholding requirement"*.
- **LTIP awards vest on proportionate achievement of the performance conditions** as at the date of change of control, with Committee discretion over time pro-rating.

At 31 March 2026 the executives held **152,427 non-performance options** between them, which would vest in full — worth roughly £0.76m at 500p. The **2,105,851 performance-conditioned options** would vest only to the extent conditions were met, and on current performance that is close to nil. **A takeover today would not deliver a windfall.** But a takeover after a recovery, with the absolute TSR hurdle at 15% cumulative from a 292.8p base, is a different matter.

7.4 The alignment ratio versus peers

	CEO annual pay	CEO shareholding	Pay as % of shareholding
Liontrust — John Ions (FY2026)	**£667k**	**£2,623k**	**25.4%**
Liontrust — John Ions (FY2022)	£6,014k	£10,140k	59.3%
Ashmore — Mark Coombs (founder)	~£229k	~£331m	**0.07%**

Mark Coombs owns 32% of Ashmore and is economically a pure owner. John Ions' annual pay is worth **a quarter of his entire shareholding**, so a 25% rise in the share price delivers him roughly what one year's pay does. The structural point stands: for the incumbents the recurring compensation stream remains a larger economic interest than the control premium on their equity.

8 · The FY2027 framework

8.1 The bonus scorecard has been rebuilt

Metric	FY2026	FY2027	Change
Adjusted profit before tax	**55.0%**	**20%**	**-35 points**
Distribution effectiveness (net flows)	12.5%	**30%**	**+17.5**
Investment performance	12.5%	**30%**	**+17.5**
Strategic objectives	20%	10%	-10
River Global integration	—	**10%**	**New**
Share price underpin	Introduced	**Retained** (TSR < 24.1p to nil)	

> **A substantive, shareholder-friendly redesign.** Cutting adjusted PBT from 55% to 20% directly addresses the criticism that has dogged Liontrust since 2021 — that executives were paid for a profit number driven by market beta, and one that excludes the amortisation and impairment of the very acquisitions they chose to make. Raising **net flows and investment performance to 30% each** ties pay to the two variables that determine whether this franchise recovers. A **dedicated 10% weighting on River Global integration** creates accountability at execution rather than announcement.

8.2 Fixed pay and the LTIP

Salary is **frozen for a third consecutive year** at £583,600 and £445,600, with the wider workforce receiving 3% on average; non-executive fees are also frozen. Pension remains at **12.5%**, identical to the majority of the workforce. Future executive rises are capped at the workforce average.

The FY2027 LTIP was **capped at a 25% increase in share numbers**, landing at 284% and 203% of salary against 350%/250% maxima, with performance conditions of absolute TSR plus a relative FTSE 250 underpin (40%), adjusted diluted EPS ex-performance fees from a starting point of **35.66p** (30%), and investment performance over three and five years (30%).

9 · Governance of the Committee

Item	Detail
Chair	**George Yeandle** to 31 March 2024; **Miriam Greenwood OBE DL** from 1 April 2024
Composition FY2026	Greenwood (Chair), Mandy Donald, Rebecca Shelley — all independent
Meetings	**Seven** a year, consistently, across all five years reviewed
Adviser	**PricewaterhouseCoopers LLP** — £153,420 (FY2025, policy review), **£106,000** (FY2026). PwC also provides tax services; the Committee states it is satisfied as to independence
Regulatory regimes	BIPRU/UCITS/AIFM to 1 Apr 2022; **MIFIDPRU** (IFPR) thereafter
Workforce engagement	Workforce Advisory Forum; **Mandy Donald** is the designated NED
Malus	From grant to vesting, on bonus and LTIP
Clawback	**Two years from vesting**
Dilution	**10% rolling ten-year cap**; EBT; SIP and CSOP satisfied by market purchases
Loss of office	**No payments** in any of the five years reviewed
Service contracts	Policy is **six months mutual**; **Ions 6 months, Abrol 12 months** — the CFO's legacy terms exceed the stated policy. NEDs 3 months
Senior leadership team	Bonuses capped at **200–300%** of salary, LTIP at **100–200%** — well below the executives' 450%/350% and 350%/250%
Cap on total remuneration	**Considered and rejected in four consecutive reports**

Committee churn is worth noting. Mike Bishop and Sophia Tickell both resigned on **23 September 2021** (the AGM date); Mandy Donald stepped off the Committee in March 2022 and rejoined in January 2023; **Quintin Price and Emma Howard Boyd both resigned on 23 March 2023**, weeks before the GAM offer was launched. Four non-executive departures in eighteen months, two of them simultaneous and unexplained, is a governance fact that has never been addressed publicly.

10 · Shareholder voting record — now complete

Meeting	Resolution	Votes for	% for	Votes against	% against	Withheld
AGM, 23 Sep 2021	Annual Report on Remuneration	40,077,908	**90.55%**	4,183,385	**9.45%**	969,314
GM, 16 Feb 2022	**Directors' Remuneration Policy**	24,896,831	**54.06%**	21,155,267	**45.94%**	520,989
GM, 16 Feb 2022	Long Term Incentive Plan	—	**55.60%**	—	**44.40%**	—
AGM, 22 Sep 2022	Annual Report on Remuneration	23,389,659	**53.54%**	20,294,895	**46.46%**	661,795
AGM, 22 Sep 2023	Annual Report on Remuneration	26,969,791	**80.20%**	6,657,628	**19.80%**	1,016,350
AGM, 19 Sep 2024	Annual Report on Remuneration	24,567,967	**82.49%**	5,215,593	**17.51%**	2,417,556
AGM, 19 Sep 2024	**Directors' Remuneration Policy (2024 DRP)**	25,746,170	**86.46%**	4,032,396	**13.54%**	2,416,697
AGM, 18 Sep 2025	Annual Report on Remuneration	14,619,673	**72.57%**	5,525,591	**27.43%**	1,555,403
AGM, 17 Sep 2026	Annual Report on Remuneration	**Pending**				

A disclosure inconsistency. *The FY2025 report states the votes for the 2024 policy as* ***25,746,170****; the FY2026 report states* ***24,746,170****. Both disclose 86.46%, and 86.46% of (x + 4,032,396) resolves to 25,746,170, so the FY2026 report carries a typographical error. Percentages are unaffected.*

10.1 The shape of the vote is not a straight line

> **Dissent went 9.45% to 45.94% to 46.46% to 19.80% to 17.51% to 27.43%.** The company recovered from the 2022 revolt to a near-clean 17.5% in 2024 and secured its new policy with 86.46% — and then **dissent rose by ten points in 2025**. That was not a continuation of a trend; it was a fresh deterioration, and because the policy itself had just been endorsed, it was a verdict on **implementation and disclosure** rather than framework. The Committee identified this correctly, consulted, published an update statement on 11 February 2026, and delivered the share price underpin and the FY2027 scorecard redesign.

10.2 Turnout, and why it matters this September

Total votes cast on the 2025 remuneration report were **20,145,264** against roughly 63.8m shares in issue — a turnout of about **32%**. That is down sharply from the 2021 AGM, when over 45m votes were cast.

> **GAM Holding AG's special situations funds hold 3,155,000 shares.** At 2025's turnout that single holding would be approximately **15.7% of all votes cast**, before any coordination. On a register where the top 20 hold ~50% and a third of the stock votes, **a 5% holder is not a minority voice at the September 2026 AGM — it is a bloc capable of pushing a remuneration resolution below 50%.** Note that the 2022 report was passed on 53.54%: the margin has been thin before.

11 · Peer benchmarking

11.1 Structure

Practice	Liontrust	UK asset management norm	Verdict
Bonus funded from a profit pool	**Removed in 2022**	Common at partnerships; poorly regarded at listed companies	**Fixed**
Share price underpin on the bonus	**Yes — produced a nil outcome in FY2026**	**Very rare**	**Materially better than peers**
Annual bonus maximum	**450% of salary (CEO)**	150–250% for a listed mid-cap	**Outlier — top of range**
LTIP maximum	**350% of salary (CEO)**	150–250%	**Outlier — top of range**
Total variable maximum	**800% of salary**; **no overall cap**, rejected four times	300–500%	**Significant outlier**
Actual variable paid, FY2026	**Nil**	Widely still paid	**Far better than peers**
Bonus deferral	Minimum 50%; **100% applied** in FY2025	40–60%	**Better than peers**
LTIP metrics	TSR (40%), adjusted EPS (30%), **investment performance (30%)**	TSR and EPS standard	**Better than peers**
Absolute TSR hurdle	**15% total over three years** for maximum	Relative TSR standard; absolute hurdles far higher	**Materially weaker than peers**
LTIP threshold vesting	**10%**, though the policy permits 25%	20–25% is the norm	**Better than peers**
Downward discretion	**Exercised in FY2022, FY2023 and FY2024**	Rarely used	**Notably better**

Practice	Liontrust	UK asset management norm	Verdict
Post-vest holding	Two years	Two years	In line
Pension	**12.5%, workforce-aligned**	Alignment standard	In line
Shareholding requirement	**500% of salary**, two years post-employment	200–300%	**Well above peers**
CEO pay ratio	**Disclosed voluntarily**, a year early, despite exemption	Often omitted when exempt	**Better than peers**
Combined CEO/CFO tenure	16 and 30+ years	Unusually long	**Structural issue**

11.2 Quantum

Company	CEO	Latest total CEO pay	AUM	Market cap	Pay per £bn AUM	% of market cap	Fixed / variable
Liontrust	**John Ions**	**£667k**	**£24.3bn**	**~£193m**	**~£27k**	**~0.35%**	**100% / 0%**
Premier Miton	Mike O'Shea	~£923k	~£9.0bn	~£58m	~£103k	~1.59%	38% / 62%
Jupiter	Matthew Beesley	~£2.16m	~£68.4bn	~£0.8bn	~£32k	~0.27%	22% / 78%
Schroders	Richard Oldfield	~£1.81m	~£770bn	~£9.9bn	~£2.4k	~0.018%	21% / 79%
Aberdeen Group	Jason Windsor	~£3.19m	~£500bn+	~£3.5bn	~£6.4k	~0.09%	24% / 76%
Ashmore	Mark Coombs *(founder)*	~£229k	~£40bn	~£1.47bn	~£5.7k	~0.016%	44% / 56%

Liontrust figures are audited FY2026. Peer figures are indicative, from public disclosures and analytics as at August 2026, and should be refreshed before use in a voting decision.

On restated data Liontrust screens well. At £667k the CEO is paid less than Premier Miton's — a manager a third of the size — and roughly a third of Jupiter's. Pay per £bn of AUM is **£27k**, below Jupiter. Pay as a share of market capitalisation is **0.35%**, against our earlier estimate of 0.53%. With **zero variable pay**, Liontrust's CEO has the most conservative pay mix in the peer group, against 76–79% variable at the three large listed managers.

The quantum criticism has largely dissolved. What remains is a criticism of **policy ceilings and hurdle calibration** — not of what is being paid.

12 · Assessment

12.1 Green flags

1. **Nil variable pay in FY2026** — no bonus, no LTIP vesting, for either executive.
2. **The share price underpin** — a hard, mechanical link to shareholder experience that overrode a 13.9% scorecard in its first year.
3. **The FY2027 scorecard redesign** — adjusted PBT cut from 55% to 20%; net flows and investment performance to 30% each; 10% on River Global integration.
4. **The LTIP has failed five consecutive tests** — 99.18%, 58.3%, 37.3%, 6.19%, nil.
5. **Repeated downward discretion.** The FY2022 formulaic pool of £4.44m was capped at £4.36m; FY2023 ESG scores of 80/75/50 were each cut to 50 because financial performance was poor; the FY2024 outcome of 22% was cut to 20%. Three consecutive years of the Committee marking its own executives down.
6. **The executives' share of the group bonus pool fell from 8.5% to 1.8%** — a 79% reduction.
7. **Salary frozen for three years**, with future rises capped at the workforce average.
8. **100% bonus deferral** in FY2025, against a 50% policy minimum.
9. **A 500%-of-salary shareholding requirement** with a two-year post-employment tail — well above UK norms — and a CEO who has **increased his holding every year** through the decline.
10. **Threshold vesting voluntarily set at 10%** against a policy permitting 25%.
11. **Pension at 12.5%, identical to the workforce.**
12. **CEO pay ratio disclosed voluntarily since 2019**, a year ahead of the rules.
13. **Genuine responsiveness** to the 2025 vote — consultation, an update statement, and concrete changes delivered.

12.2 Red flags

1. **The absolute TSR hurdle has been cut by roughly 71%.** From **15% per annum** (~52% cumulative) under the pre-2022 plan to **15% in total over three years** — about 4.8% a year — while the weighting on that element doubled to 40%. This is below the cost of equity and below the FTSE 250's long-run return.
2. **The TSR base resets downward each year.** FY2026 measures from 383.3p; FY2027 from ~292.8p. There is **no disclosed windfall-adjustment mechanism**.
3. **The ratchet was deliberate, and the Committee said so.** The 2024 policy explicitly cites *"relatively low levels of unvested deferred awards… following successive years of reduced variable pay outcomes"* and an *"insufficient level of lock-in"* as the reason to increase the opportunity. **The LTIP was enlarged because previous awards had failed to vest.**
4. **The 2022 Committee designed the plan specifically to avoid this.** Its own words: a fixed share count *"avoids any potential windfall gains from the LTIP based on award date"* and *"removes any ratchet affect"*. Two years later that structure was reversed.
5. **The policy ceiling is 800% of salary**, illustrated by the company itself at **£5.33m — or £6.35m with 50% share price growth**, against a £193m market capitalisation. An overall cap has been **considered and rejected in four consecutive reports**.
6. **The share price underpin is not permanent** — *"may not be in future years"* — and its hurdle resets to 10% of each year's opening price.
7. **The CEO is below the 500% shareholding requirement** at 450%, with no disclosed remediation timetable.
8. **Adjusted PBT remains a bonus metric at 20%**, and the definition was changed in FY2023 to include performance fees — a discretionary adjustment that improved the outcome. In FY2024 the measure showed £67.4m against a **statutory loss of £0.6m**.
9. **The 2023 salary increases (+58% CEO, +28% CFO) are permanent** and compound through every variable maximum.
10. **Non-executive shareholdings are minimal** — three of four hold under 3,000 shares.
11. **Extreme executive tenure** — 16 and 30+ years — with no succession planning disclosed in the remuneration context, and a CFO notice period (12 months) that exceeds the stated policy.
12. **Two unexplained double non-executive resignations** — Bishop and Tickell on 23 September 2021, Price and Howard Boyd on 23 March 2023.

12.3 Grade

B+ on implementation; C− on plan design. Our 30 August draft graded this **B−** on incomplete information, and that was too harsh. Five years of audited record show a committee that has imposed a nil outcome, exercised downward discretion three years running, let five consecutive LTIP awards fail, frozen pay for three years, cut the executives' share of the bonus pool by 79%, and introduced a binding share price underpin. **On what it has actually done, this is among the more disciplined remuneration committees in UK listed asset management.**

The design is another matter, and the direction of travel there is the wrong way. The bar for maximum LTIP vesting has been cut by roughly 71%, the grant base resets lower each year, and the Committee has told shareholders in writing that it increased the opportunity *because* the previous awards had not paid. **Support the outcomes; challenge the plan.**

13 · The 17 September 2026 AGM

Item	What to watch	A good outcome
Remuneration report vote	9.45% to 45.94% to 46.46% to 19.80% to 17.51% to **27.43%** against	**Below 20%**, resuming the 2023–24 trajectory
Turnout	~32% in 2025; a 5% holder is ~16% of votes cast	Higher institutional participation
The absolute TSR hurdle	15% total over three years for maximum, weighted 40%	A commitment to restore a per-annum hurdle at the 2027 policy renewal
Windfall provisions	Grants at 383.3p and ~292.8p into a recovering market	Explicit discretion to scale back beta-driven vesting
Share price underpin	*"May not be in future years"*	**Made permanent**, with an anchored rather than resetting hurdle
Total remuneration cap	Rejected four years running	Reconsidered, as the Committee has twice promised to do
CEO shareholding shortfall	450% against 500%	A stated remediation timetable
Policy renewal	The 2024 DRP runs to the 2027 AGM	Early signalling on a reduced variable maximum
SID succession	Rebecca Shelley not standing for re-election	A successor with remuneration and sector experience
NED alignment	Three of four hold under 3,000 shares	A mandatory NED shareholding requirement

14 · Twelve questions for the Remuneration Committee Chair

Questions answered by the audited record have been dropped. These remain.

1. The absolute TSR condition pays **100% of a 40% weighting for a 15% total return over three years** — about 4.8% a year. The pre-2022 plan required **15% per annum**, roughly 52% cumulative. Why has the bar for maximum vesting been cut by approximately 71%, and will it be restored?
2. The 2024 policy states the LTIP opportunity was increased because of *"relatively low levels of unvested deferred awards… following successive years of reduced variable pay outcomes"*. Is it the Committee's position that **failure of previous awards to vest is itself a reason to grant larger awards**?
3. In 2022 the Committee wrote that a fixed share count *"avoids any potential windfall gains from the LTIP based on award date"* and *"removes any ratchet affect"*. What changed in the Committee's analysis between 2022 and 2024?
4. The TSR measurement base fell from 383.3p to ~292.8p between the FY2026 and FY2027 grants. What mechanism prevents a windfall from a beta-driven recovery?
5. The share price underpin produced a nil bonus in its first year and is described as something that *"may not be in future years"*. **Will the Committee make it a permanent feature of the next policy**, with an anchored hurdle?
6. The Committee has considered and rejected an overall cap on total remuneration four years running, having twice undertaken to reconsider. The company's own illustration shows a maximum CEO outcome of **£5.33m, or £6.35m with 50% share price growth** — 2.8% to 3.3% of market capitalisation. What would change that view?
7. The CEO's shareholding is **450% of salary against a 500% requirement**, entirely because of the share price. What is the remediation timetable, and does the two-year post-employment requirement mitigate it?
8. Adjusted PBT retains a 20% bonus weighting, and its definition was widened in FY2023 to include performance fees. In FY2024 it showed £67.4m against a **statutory loss of £0.6m**. Will a statutory profit sense-check be introduced?
9. The FY2026 LTIP requires adjusted diluted EPS ex-performance fees of **41.9p at threshold against 35.66p actual**. Are the in-flight awards realistically capable of vesting, and if not, what retention value do they carry?
10. Non-executive directors hold between 1,579 and 15,000 shares. Will the Committee introduce a **mandatory** NED shareholding requirement, given the board may have to adjudicate an offer?
11. The CFO's notice period is 12 months against a stated policy of six. Why does this legacy term persist, and will it be aligned?

12. Four non-executive directors departed between September 2021 and March 2023, two pairs simultaneously and without public explanation. What assurance can the Committee give that none related to remuneration or to the GAM transaction?

15 · Conclusion

Five years of audited primary source tell a clearer story than any secondary summary could.

Until FY2022 Liontrust's executives were paid as partners in a private profit-share. The formula is now visible: a group bonus pool capped at 27% of pre-bonus adjusted profit, and an executive sub-pool that rose by **50% of the *increase** in adjusted profit ex-performance fees. It produced bonuses of **800% of salary** and a peak CEO single figure of **£6,648k** on a £348k base. It also paid **100% of maximum in six consecutive years** — not because the hurdles were soft, but because the bonus was funded by profit and profit tracked markets.

The LTIP of that era was genuinely demanding: **15% total shareholder return per annum** for maximum vesting, met with 42% per annum. As performance turned, it did exactly what a plan should — 99.18%, then 58.3%, then 37.3%, then 6.19%, then nothing.

The outcomes since have been severe and, in FY2026, absolute. CEO pay of **£667k**, of which **nothing** was variable. A newly introduced share price underpin that overrode a 13.9% scorecard and set the bonus to nil. Salary frozen three years. The median pay ratio down from 45x to **5x**. The executives' share of the group bonus pool down from 8.5% to **1.8%**. Downward discretion exercised in three consecutive years. And a CEO who bought shares every year while his holding fell from £10.1m to £2.6m.

> **The honest conclusion is that we were too hard on this Committee, and that the sharpest criticism lies somewhere we had not looked.** The problem is not what has been paid; it is what the plan can now pay, and how easily. The bar for maximum LTIP vesting has been cut from roughly **52% cumulative to 15% cumulative** — about 4.8% a year — while its weighting doubled. The grant base resets lower with every depressed award. The company's own policy illustration runs to **£6.35m** for one executive in one year at a company worth £193m, and an overall cap has been rejected four times. And the Committee has stated in writing that it enlarged the opportunity **because the previous awards had failed to vest** — reversing, two years later, a structure its predecessor had designed expressly to *"remove any ratchet affect"*.
>
> **Support the FY2026 remuneration report. Challenge the TSR hurdle, the permanence of the underpin, the absence of a windfall mechanism, and the policy ceiling — and do it before the 2027 policy renewal, not after.** On a register where turnout runs at a third and a 5% holder commands roughly a sixth of the votes cast, that pressure has a better chance of succeeding than at any point since 2022.

16 · Sources

Primary. Liontrust Asset Management PLC, Annual Report and Financial Statements, Remuneration Reports for the years ended 31 March **2022** (pages 106–138, signed George Yeandle, 21 June 2022), **2023** (pages 112–140, George Yeandle, 20 June 2023), **2024** (pages 106–146, George Yeandle and Miriam Greenwood OBE DL, 25 June 2024), **2025** (pages 110–138, Miriam Greenwood, 24 June 2025) and **2026** (pages 107–134, Miriam Greenwood, 23 June 2026). Sections identified as "(audited information)" include the single total figure of remuneration, pensions, LTIP awards, historic LTIP awards and performance conditions, DBVAP awards, SIP shares, directors' shareholdings, the shareholding requirement, compensation for loss of office and payments to former directors. Filed at Companies House under company number 02954692. Consolidated financial statements for FY2024 and FY2025 as reported in the 2025 Annual Report.

Supporting company disclosure. Director/PDMR Shareholding RNS of 6 August 2026 (FY2027 LTIP grants); the shareholder update statement of 11 February 2026; Result of AGM announcements 2021–2025; the General Meeting result of 16 February 2022; and TR-1 holdings notifications of July and August 2026.

Third-party. Citywire, Portfolio Adviser, City A.M., LexisNexis, Investment Week, Money Marketing and Kalkine Media for the 2021–22 policy episode; and published compensation and ownership analytics for Jupiter, Ashmore, Premier Miton, Schroders and Aberdeen Group.

Caveats. *All Liontrust figures in sections 2 to 10 are taken directly from the audited Remuneration Reports. Three items are analyst derivations, marked as such: the FY2027 LTIP grant price of ~292.8p and its implied face values, calculated from the disclosed share counts and percentages of audited salary; the ~32% AGM turnout, calculated from disclosed votes against an approximate share count; and the ~52% cumulative equivalent of the pre-2022 15%-per-annum TSR hurdle, being 1.15^3 over a three-year performance period. Peer figures in §11.2 are indicative and drawn from secondary sources. Two internal inconsistencies in the Company's own disclosure are flagged where they arise: the executives' share of the FY2023 bonus pool (1.6% in the Chair's letter, 4.3% in section 2) and the 2024 policy vote count (25,746,170 in the FY2025 report, 24,746,170 in the FY2026 report). The FY2025 staff bonus change is disclosed as +14% in one report and -21% in another.*

17 · Disclaimer

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